

# Case 5 Streaming Wars: Netflix versus Disney\*

The launch of Disney Plus on November 12, 2019 marked the beginning of the “streaming wars.” Until then, streamed video entertainment had been dominated by Netflix, which launched its streaming service in 2007 and was followed by Hulu—a joint venture involving News Corp., NBC Universal, and Walt Disney Company—and Amazon’s Prime Video. Apple launched its Apple TV Plus subscription service in November 2019.<sup>1</sup>

Disney was not the only major Hollywood studio to offer streamed video entertainment. AT&T’s Warner Entertainment launched its HBO Max subscription service in May 2020; Comcast’s NBC Universal launched Peacock in July 2020; ViacomCBS launched Paramount+ in March 2021. The rush of old media into streaming was galvanized by forecasts that the world market for video streaming would grow from \$60 billion in 2020 to \$170 billion in 2027 and the fear that this vast new market would be dominated by Netflix.

The timing of these launches was propitious: by March 2020, the COVID-19 pandemic had closed or severely restricted cinema and most forms of live entertainment: much of the world’s population was limited to entertainment within the home.

Despite this influx of new entrants, by early 2021, the global market for streamed video entertainment (at least, outside of China<sup>2</sup>) was widely viewed as an emerging battleground between Netflix and Disney. This perception was reinforced by Disney’s presentation to investors on December 11 where Disney outlined its intention to double its annual expenditure on content to about \$15 billion by 2024 with a view to attracting 230m. and 260m. subscribers to Disney Plus by 2024 (more than triple its previous forecast).

However, despite similar ambitions for leadership in video streaming and similar market capitalizations, Netflix and Disney were very different companies. As a result of their different histories, each possessed quite different resource and capability profiles. These differences had important implications for the strategies through which each company would pursue its ambitions and for the market positions that each would occupy.

## Netflix

### Founding

Netflix was founded in 1997 as a mail-order DVD rental company. It initially rented DVDs for \$4 each, later switching to monthly subscriptions.

\*This case was prepared by Robert M. Grant. © 2021 Robert M. Grant.

Its founders were Reed Hastings and Marc Randolph. Hastings is a Stanford computer science graduate who had previously spent two years with the Peace Corps in Swaziland. He observed that: “Once you have hitchhiked across Africa with ten bucks in your pocket, starting a business doesn’t seem too intimidating.” Netflix was his second start-up. Marc Randolph is a serial entrepreneur who, as a student spent summers working for the National Outdoor Leadership School. He has likened founding companies to mountain guiding. The two came together when their software start-ups merged in 1996.

From the outset, the founders had envisaged Netflix as distributing movies through the internet. By 2007, diffusion of broadband made it feasible for Netflix to launch its video streaming service. Initially, Netflix offered a limited range of old movies and TV shows, which could be viewed only on PCs. Growing Netflix required, first, expanding its licensing deals with content owners and, second, expanding the range of devices for viewing Netflix. Roku’s set-top box was developed in collaboration with Netflix to permit Netflix to be streamed to ordinary TV sets. Netflix also collaborated with Microsoft to allow Netflix to be viewed on Xbox.

### Building Content

Initially, Netflix spent heavily on licensing deals with studios, TV networks, and cable channels for rerun rights on movies and TV shows. In 2012, it began commissioning its own original content and, in 2018, it acquired its first studio. Its first two series—*House of Cards* (produced by AMC) and *Orange Is the New Black* (produced by Lionsgate)—were huge successes with both viewers and critics. Its critically acclaimed feature films—including *Roma* (2018), *The Irishman* (2019), *The Two Popes* (2019), and *Marriage Story* (2019)—established Netflix as a major player in Hollywood. With the launch of their own streaming services, Disney, NBC Universal, and Warner removed their content from Netflix, further increasing Netflix’s reliance on producing its own content. Table 1 shows the growth in Netflix’s production of original content.

Netflix further increased its involvement in producing through signing exclusive contracts (typically for four or five years) with prominent producers and screenwriters including Shonda Rhimes, Jenji Kohan, Ryan Murphy, Ricky Gervais, and Carolina Rivera.

During 2020, Netflix outspent even the major Hollywood studios on movies and TV shows (see Table 2). This prioritization of growth over profitability was reflected in Netflix’s financial performance (see Table 3).

### International Expansion

Netflix has long regarded the entire globe as its target market. International expansion began with Canada (2010), followed by Latin America (with Spanish and Portuguese

**TABLE 1** Netflix’s original content produced by/for Netflix

|                                      | 2020 | 2019 | 2018 | 2017 |
|--------------------------------------|------|------|------|------|
| Feature films                        | 107  | 74   | 68   | 39   |
| Multi-episode TV shows (in English)  | 139  | 127  | 111  | 59   |
| Multi-episode TV shows (non-English) | 35   | 45   | 19   | 6    |

**Source:** Based on Netflix, *Wikipedia*.

EXHIBIT

The Video Streaming Value Chain

Streaming video entertainment to viewers involves three main stages: amassing content, distributing that content, and managing the user experience.

1 **Content.** Video entertainment is acquired either by licensing existing content from its owners or by creating it. Technology-based video streaming companies from outside the entertainment industry—Netflix, Amazon, and Apple—initially relied on licensing. The major movie studios—Disney, AT&T/Warner, and Comcast/Universal—have been motivated by the need to add a new distribution channel to the traditional channels (cinemas, DVDs, and broadcast and cable TV).

Competition for content encouraged the pioneers of streaming—Netflix and Amazon—first to acquire proprietary content from independent production companies and then to acquire their own studios.

2 **Distribution.** Linking viewers with streamed entertainment content is a complex task requiring massive investments in software and infrastructure and coordinating multiple companies.

Encoding digital content for transfer over the internet requires that video files are “wrapped” to ensure content protection, digital rights management, advertising insertion, and compatibility with different types of end-user device. Adapting video streams both to the different processing power, image resolution, and technical requirements of different viewing devices (smart TVs, personal computers, Android and iOS mobile devices, and PlayStation and Xbox game consoles) and to the different technical capabilities of different internet access modes imposes complex technological challenges. To ensure speed, reliability, and resolution, video streaming services utilize *content delivery networks* (CDNs): networks of data centers and servers that cache and stream content locally.

Disney, both for Hulu and Disney Plus, uses multiple third-party CDNs—including Akamai, Verizon Media, Fastly, Limelight Networks, CenturyLink, and AWS—thereby avoiding the time, money, and complexity of filling this vital stage in the video-streaming value chain.

programming, 2011), and the United Kingdom, Ireland, and Scandinavia (2012). By 2018, the majority of Netflix subscribers were outside of the United States and Canada (see Table 4). At the end of 2019, Netflix was providing streaming services in 190 countries. The main gap in Netflix’s global coverage is China where a partnership with Baidu’s iQiyi was terminated in 2018.

**TABLE 2** Estimated expenditure on producing and licensing movies and TV shows, 2020

| Netflix | Viacom/CBS | Disney | NBC Universal | ARD/ZDF <sup>a</sup> | BBC <sup>a</sup> |
|---------|------------|--------|---------------|----------------------|------------------|
| 13.6    | 13.5       | 11.0   | 9.5           | 4.2                  | 2.1              |

**Note:**

<sup>a</sup> ARD/ZDF and the BBC are, respectively, the German and British public broadcasting organizations.

**Source:** *Financial Times*.

By contrast, Netflix has spent years building its own global CDN, Open Connect, in order to avoid relying on third-party CDN companies. It believes that, by integrating the entire value chain from content creation to managing the user interface, it is better placed to achieve innovation, personalization, and quality enhancement. However, Netflix does use third-party cloud storage for its content: in 2016, Netflix migrated its content from its own data centers to Amazon Web Services (AWS). Amazon Prime Video also extols the merits of integration: it “employs its global cloud infrastructure combined with machine learning and real-time data processing to dynamically adjust its viewing experience. The goal is to maintain quality using the least amount of bandwidth.”<sup>a</sup> Its head of software engineering observed: “Streaming top-quality video over the internet is complex. The closer you get to deploying your infrastructure to customers, the better your availability and performance and quality are going to be.”<sup>b</sup>

In developing its content delivery capabilities, Disney relies heavily on its subsidiary, BAMTech. Acquired in 2017, BAMTech manages encoding and distribution of video content for Disney’s three streaming services.

3 **User interface.** Given the huge array of movies and TV series available on each streaming service, helping viewers to select is critical to user satisfaction. User recommendations for video streaming rely heavily upon AI and machine learning, which inevitably focus primarily on previous viewing behavior. However, in developing individual user profiles, prior viewing choices provide only a partial and backward-focused input. Netflix and Amazon are both leaders in running experiments to identify modifications to navigation and user interface that can increase engagement and improve discovery. This extends to selecting the right images to associate with individual movie and TV titles.

However, the current trend is away from exclusive reliance on data analysis and artificial intelligence. Netflix’s content curation increasingly combines data-driven algorithms and human intuition.

**Notes:**

<sup>a</sup><https://www.pcmag.com/news/inside-the-tech-that-powers-your-favorite-video-streaming-services>.

<sup>b</sup>Ibid.

Netflix’s international strategy has involved the following:

- **Step-by-step expansion.** Netflix accumulated learning from entering nearby markets to facilitate its penetration of more distant markets. This learning included adapting to national regulations and customer preferences, accessing and producing foreign language content, working with local partners, and adjusting to local broadband infrastructure and viewing practices. Among the local players that Netflix collaborates with are content producers, device makers, mobile and TV operators, and internet service providers. For example, Netflix has made deals with Sony, Panasonic, Samsung, and other manufacturers to add a Netflix button to the remote controls for their TVs and DVD players
- **Creating local versions of US shows.** For example, *Ultimate Beastmaster*, a reality show launched in the United States in 2017, was locally adapted for distribution in Brazil, South Korea, Mexico, Germany, and Japan.

**TABLE 3** Netflix: Financial data (year ended December 31)

| \$ millions                            | 2020   | 2019   | 2018   | 2017   |
|----------------------------------------|--------|--------|--------|--------|
| Revenues                               | 24,996 | 20,156 | 15,794 | 11,693 |
| Operating income                       | 4585   | 2604   | 1605   | 839    |
| Operating margin                       | 18.3%  | 12.9%  | 10.2%  | 7.2%   |
| Net income                             | 2761   | 1867   | 1211   | 559    |
| Net cash from operating activities     | 2761   | (2887) | (2680) | (1786) |
| Net cash from investing activities     | (505)  | (387)  | (339)  | 34     |
| Additions to content assets            | 11,779 | 13,917 | 13,043 | 9806   |
| Cash, short-term investments           | 8205   | 5018   | 3794   | 2823   |
| Licensed content                       | 13,747 | 14,703 | 14,082 | 11,772 |
| Produced content                       | 11,636 | 9801   | 6021   | 2897   |
| Total content assets <sup>a</sup>      | 25,383 | 24,505 | 20,102 | 14,669 |
| Total assets                           | 39,280 | 33,976 | 25,974 | 19,013 |
| Long-term debt                         | 15,809 | 14,759 | 10,360 | 6499   |
| Total content liabilities <sup>a</sup> | 7048   | 7748   | 8441   | 7498   |
| Total stockholders' equity             | 11,065 | 7582   | 5239   | 3582   |

<sup>a</sup> Current and non-current.**Source:** Modified from Netflix financial statements, 2021.**TABLE 4** Netflix paying subscribers (at year end) in millions

|                          | 2020  | 2019  | 2018  | 2017  |
|--------------------------|-------|-------|-------|-------|
| Global                   | 203.7 | 167.1 | 139.3 | 110.6 |
| United States and Canada | 73.9  | 67.7  | 64.8  | 58.4  |
| EMEA                     | 66.7  | 51.8  | 37.8  | 26.0  |
| Latin America            | 37.5  | 31.4  | 26.1  | 19.7  |
| Asia Pacific             | 25.5  | 16.2  | 10.6  | 6.5   |

**Source:** Based on Netflix financial statements, 2021.

- **Creating local content.** Localization has extended beyond foreign language versions of US-produced content and licensing existing local content. By 2020, Netflix was commissioning original content in 30 countries of the world and had established a major production center in Madrid. Netflix's international production strategy was characterized by a "local-to-global" approach: productions for local markets often achieved popularity elsewhere. Thus, the German series *Dark* and Spanish series *Elite* have become international successes, while the

several Turkish drama series have become highly popular in Latin America—as well as among Europe’s Turkish diaspora.

- **Advances in dubbing techniques.** Responding to audience preferences for dubbing over subtitles, Netflix has invested heavily in dubbing, which includes translating shows into 31 different languages, and improvements in dubbing techniques, which include matching characters with local accents and synchronizing dialogue with lip movements.

Netflix was unrivalled in the content it could offer to non-US audiences (see Table 5). However, in the United States, Amazon’s Prime Video had by far the greatest number of feature movies on offer (see Table 6).

**TABLE 5** Netflix content library in selected countries (December 27, 2020)

|               | TV series | Feature movies |
|---------------|-----------|----------------|
| United States | 2089      | 3810           |
| Brazil        | 1755      | 3310           |
| Germany       | 1845      | 3514           |
| Turkey        | 1762      | 3131           |
| Spain         | 1767      | 3079           |
| Malaysia      | 2197      | 3175           |
| India         | 2179      | 3854           |
| Japan         | 2063      | 3959           |
| Australia     | 2098      | 3822           |

**Source:** Based on unofficial Netflix online Global Search, 2020. <https://unogs.com/countrydetail>.

**TABLE 6** Streaming services compared (December 12, 2020)

|                               | Netflix              | Disney Plus | Hulu                 | Prime Video         | HBO Max | Apple TV Plus |
|-------------------------------|----------------------|-------------|----------------------|---------------------|---------|---------------|
| Monthly subscription          | \$13.99 <sup>a</sup> | \$6.99      | \$11.99 <sup>b</sup> | \$7.99 <sup>c</sup> | \$14.99 | \$4.99        |
| Total movies available        | 3781                 | 615         | 1016                 | 12,828              | 1735    | 5             |
| Quality movies <sup>d</sup>   | 424                  | 83          | 87                   | 568                 | 421     | 2             |
| Total TV shows available      | 1940                 | 235         | 1755                 | 2220                | 410     | 22            |
| Quality TV shows <sup>d</sup> | 370                  | 28          | 293                  | 232                 | 109     | 3             |

**Notes:**

<sup>a</sup>Standard HD plan.

<sup>b</sup>\$5.99 with ads.

<sup>c</sup>\$12.99 with other Amazon Prime services.

<sup>d</sup>Rated >6.0 by IMDb.

**Sources:** Based on Reelgood; <https://www.businessinsider.com/streaming-comparison-netflix-hulu-disney-plus-hbo-max-prime-2020-6?r=US&IR=T>.

## Technology

The founders' prior careers in Silicon Valley were reflected in the central role that information technology played in Netflix's strategy. The challenge for all B2C e-commerce companies was helping viewers to select from a vast array of available content. By 2010, Netflix had 6755 movies and 530 TV shows available in the United States. In 2020, there were 4091 movies and 1761 TV shows.<sup>3</sup>

Hollywood traditionally relies on marketing to build viewer demand; Netflix used algorithms to help viewers to select. Under Vice-President of Product, Todd Yellen, a 15-year veteran of Netflix, the company has continually refined its systems for personalizing viewer content. Titles are categorized into about 80,000 micro-genres, such as "Suspenseful British Assassination Movies" and "Romantic Mistaken-Identity Dramas." Linking these micro-genres to users' viewing history allows Netflix to allocate users to one of over 2000 taste communities.

These communities determine personalization. For example, the web page "Popular on Netflix" selects shows on the basis of both overall popularity and popularity among users with matching viewing histories. In order to "put the right title in front of the right person at the right time" when viewers spend, on average, 1.8 seconds in deciding whether to reject a recommendation, Netflix gives special attention to thumbnails—the small images that accompany a title. Rather than use the artwork or still photos created by the producers, Netflix creates its own that are designed to optimize users' selections and are customized to viewers' characteristics.

User-generated data is also applied to the selection and design of original content. In its first original production, *House of Cards*, Netflix combined data that revealed (a) the popularity of the British version of the show, (b) British *House of Cards* viewers also watched movies that featured Kevin Spacey or were directed by David Fincher, and (c) those watching David Fincher movies tended to view in a single sitting. On this basis, Netflix commissioned a US version of *House of Cards* starring Kevin Spacey and directed by David Fincher. As Netflix has accumulated data on viewer characteristic, preferences, and viewing behavior, so it has refined its application of data analytics to content design. As a result, success rates for Netflix shows are about double those of TV shows generally.

Netflix relies heavily on experimentation to generate data and product innovation: "We ask our members, through online experiments, which of several possible experiences resonate with them. This culture of experimentation and a commitment to data-driven decision-making extend through all levels of the company . . . Our executives make time to understand experimental methods and test results, and their close interaction with data scientists helps ensure that our data-driven decisions are sound from both statistical and business perspectives."<sup>4</sup>

## Management Style

Netflix's management style is unconventional. Co-CEO, Reed Hastings, sums it up in the title to his book *No Rules Rules*. As the *Financial Times* explains:

Staff face no limit on holiday, nor do they need expenses approved. Everyone is deliberately paid more than their market rate—much more. "Brilliant jerks" are sacked. Big risk-taking is encouraged. Openness and transparency—"sunshining"—applies to almost everything, at least internally. Market-sensitive earnings data is shared with 700 staff (most companies treat them like nuclear codes). Individual salaries are searchable too . . . At Netflix "F&R"—freedom and responsibility—is the creed.

But there is a hard edge. This company's mantra is being "a team, not a family". So good employees are subject to the so-called "keeper test" where adequate performance is rewarded with "a generous severance package." Radical candor extends to near-constant discussion of whether employees are a Netflix fit. It smacks of nonstop group therapy, with the risk of eviction at any moment, pour décourager les autres. "If your people choose to abuse the freedom you give them, you need to fire them and fire them loudly," Hastings writes.<sup>5</sup>

For all the emphasis on data and algorithms, decisions at Netflix are by individuals and teams. These are guided by a culture that is articulated in the company's "Reference Guide on Our Freedom & Responsibility Culture" comprising 128 PowerPoint slides published in 2009.<sup>6</sup> Facebook COO, Sheryl Sandberg, suggests that the presentation "may well be the most important document ever to come out of the Valley." Among its values, principles, and desired behaviors, Netflix states:

What is special about Netflix, though, is how much we:

- 1 encourage independent decision-making by employees
- 2 share information openly, broadly, and deliberately
- 3 are extraordinarily candid with each other
- 4 keep only our highly effective people
- 5 avoid rules.

Our core philosophy is people over process. More specifically, we have great people working together as a dream team. With this approach, we are a more flexible, fun, stimulating, creative, collaborative, and successful organization.<sup>7</sup>

This culture can also be viewed as: "ruthless, demoralizing and transparent to the point of dysfunction."<sup>8</sup> Netflix has "built a unique version of corporate hell . . . founded on brutal honesty, ritual humiliation, insider lingo, and constant fear."<sup>9</sup>

## Walt Disney Company

### Disney's Development and Strategy

Walt Disney Company is the world's biggest entertainment company. It was founded to produce animated movies by brothers Walt and Roy Disney, in 1923. Since then, it has diversified into live action movies, film distribution, theme parks, TV productions, cable TV (the Disney Channel, ESPN), broadcast TV (ABC), local TV stations, video games, hotels and resorts, real estate development, retail Disney stores, and consumer products (mainly through licensing). Much of Disney's growth has been through acquisition, including ABC (1995), Pixar Animation Studios (2006), Marvel Entertainment (2009), Lucasfilm (2012), A&E Television Network (2013), and 21st Century Fox (2019). Disney has also expanded internationally—notably with theme parks in Paris, Tokyo, Hong Kong, and Shanghai. Table 7 shows financial data for Disney as a whole. Tables 8 and 9 disaggregate financial performance by business segment and by geography.

Despite its diversification, Disney considers itself an integrated company. At the heart of this integration is its mission "to entertain, inform and inspire people around the globe through the power of unparalleled storytelling" and a commitment to family entertainment that embodies its values of "innovation, quality, community, storytelling, optimism and decency."

**TABLE 7** Walt Disney Company: Selected financial data (to end September)

|                                                             | 2020          | 2019          | 2018          | 2017          |
|-------------------------------------------------------------|---------------|---------------|---------------|---------------|
| <b>Revenues</b>                                             | <b>65,388</b> | <b>69,570</b> | <b>59,434</b> | <b>55,137</b> |
| Operating income                                            | 8108          | 13,944        | 14,729        | 13,788        |
| Operating margin (%)                                        | 12.4          | 20.0          | 24.8          | 25.0          |
| Net income                                                  | (2832)        | 11,584        | 13,066        | 9366          |
| Net cash from operating activities                          | 7616          | 5984          | 14,295        | 12,343        |
| Net cash from investing activities (including acquisitions) | (3850)        | (15,096)      | (5336)        | (4111)        |
| Spending on film and TV production                          | 9337          | 6471          | 5590          | 5319          |
| Spending on TV program licenses                             | 12,077        | 10,517        | 7770          | 7406          |
| Total spending on film and TV production and licenses       | 20,578        | 17,079        | 13,360        | 12,725        |
| Cash, short-term investments                                | 17,914        | 5418          | 4150          | 4017          |
| Net film and TV content assets                              | 23,094        | 23,346        | 8024          | 7481          |
| Parks, resorts, and other property                          | 32,078        | 31,603        | 29,540        | 28,406        |
| Total assets                                                | 201,549       | 193,984       | 98,598        | 95,789        |
| Current liabilities                                         | 26,628        | 31,341        | 17,860        | 19,595        |
| Long-term debt                                              | 52,917        | 38,129        | 24,797        | 26,710        |
| Total stockholders' equity                                  | 88,263        | 93,889        | 48,773        | 41,315        |

**TABLE 8** Walt Disney Company: Segment financial data

|                                    | 2020   | 2019   |
|------------------------------------|--------|--------|
| <b>Revenue</b>                     |        |        |
| Media Networks                     | 28,393 | 24,827 |
| Parks, Experiences and Products    | 16,502 | 26,225 |
| Studio Entertainment               | 9636   | 11,127 |
| Direct-to-Consumer & International | 16,967 | 9349   |
| <b>Operating margin (%)</b>        |        |        |
| Media Networks                     | 31.8   | 30.1   |
| Parks, Experiences and Products    | (0.5)  | 27.5   |
| Studio Entertainment               | 26.0   | 24.1   |
| Direct-to-Consumer & International | (16.5) | 19.4   |
| <b>ROA (%)</b>                     |        |        |
| Media Networks                     | 14.5   | 11.8   |
| Parks, Experiences and Products    | (0.2)  | 16.1   |
| Studio Entertainment               | 7.6    | 7.8    |
| Direct-to-Consumer & International | (6.2)  | (3.7)  |

**TABLE 9** Walt Disney Company: Geographic financial data

|                               | 2020   | 2019   | 2018   |
|-------------------------------|--------|--------|--------|
| <b>Revenues (\$ millions)</b> |        |        |        |
| Americas                      | 51,992 | 53,805 | 46,877 |
| Europe                        | 7333   | 8006   | 7026   |
| Asia Pacific                  | 6063   | 7796   | 5531   |
| <b>Operating margin (%)</b>   |        |        |        |
| Americas                      | 11.2   | 19.0   | 25.4   |
| Europe                        | 17.4   | 30.4   | 27.4   |
| Asia Pacific                  | 16.8   | 27.8   | 33.8   |

At the apex of Disney's integrated business system is its movie making: its animation and movie studios develop content that is distributed through movie theaters, cable, broadcast TV, DVDs, and the internet. The movies create the themes and the characters that generate spin-off TV shows, live shows on stage and on ice, theme park rides, books, music, and consumer products licensing. Under Bob Iger (CEO, 2005–2020), Disney pursued the “content is king” mantra in creating a vast portfolio of billion-dollar franchises—hence the acquisitions of Marvel and Star Wars.

Iger was also committed to technological innovation—hence the acquisition of Pixar to upgrade Disney's animation capabilities and the decision to become a major player in video streaming.

### Disney and Video Streaming

In 2009, Disney acquired an equity stake in Hulu, a subscription video-on-demand service that was launched in 2008. Following the 2019 acquisition of 21st Century Fox, Disney's ownership increased to 67% and Hulu was merged into Disney's newly created Direct to Consumer & International business segment.

In April 2019, Disney launched ESPN Plus, a streamed version of its ESPN sports cable channel. ESPN used the streaming technology platform of BAMTech, which had been acquired by Disney in 2017. However, this was only the spearhead of a much bigger push. On a February 2019 conference call announcing Disney's quarterly earnings, Iger announced that “DTC [direct-to-consumer] remains our No. 1 priority,” and that its new Disney Plus streaming service would draw upon Disney's iconic brands and franchises to “break through the competitive clutter and connect with consumers.”<sup>10</sup>

Following months of pre-launch promotion focused upon Disney Plus's new offerings—notably a *Star Wars* spin-off *The Mandalorian*—the service launched on November 12, 2019, with a monthly subscription of \$6.99. Despite a host of technical glitches that confirmed widespread doubts whether Disney possessed the necessary technical experience to manage a major, international video streaming service, Disney was able to announce over 10 million first-day subscribers. By the end of 2019, Disney Plus was available in the United States, Canada, the Netherlands, Australia, and New Zealand and by end-September 2020 in most of Western Europe, India, Japan, Indonesia, and the Caribbean.

**TABLE 10** Walt Disney Company: Direct-to-Consumer subscriptions

| (millions)  | Jan. 2, 2021 | June 27, 2020 | Dec. 28, 2019 | June 29, 2019 |
|-------------|--------------|---------------|---------------|---------------|
| Disney Plus | 94.9         | 57.5          | 26.5          | —             |
| ESPN Plus   | 12.1         | 8.5           | 6.6           | 2.4           |
| Hulu        | 39.4         | 35.5          | 30.4          | 27.9          |

**Source:** Based on Walt Disney Company, quarterly earnings reports.

Responding to criticisms that Disney Plus lacked new content, Disney expanded production during 2020. At the beginning of 2021, Disney was working on about 35 television series. These included 10 based upon its Marvel franchise, 10 based upon its Star Wars franchise, and several Pixar animations. In addition, it was developing 15 movies to be released on Disney Plus in the next few years.<sup>11</sup>

To expand market penetration, Disney has formed partnerships with media and communications companies—notable with Verizon in the United States, Canal Plus in France, and Comcast's Sky in the United Kingdom and Ireland. These arrangements typically offer wireless and home internet subscribers a free year of Disney Plus. In the Canal Plus and Sky deals, subscribers access Disney Plus through their set-top boxes. These deals are modeled on 2017 Netflix's partnership with T-Mobile.

While Disney Plus has been the primary focus for Disney's push into streaming and has attracted the most attention because of Disney's renowned characters and franchises, Hulu has come into focus as the "sexier, R-rated sibling of Disney Plus."<sup>12</sup> In addition to a large library of TV shows and movies and the ability to watch live TV channels, Hulu has been successful with much of its original programming—notably *Handmaids' Tale*, *Mrs. America*, *Harlots*, *Devs*, *Normal People*, and *Catch-22*. In contrast to Netflix, Hulu has concentrated on relatively few new shows but has emphasized big names and provocative subject matter.

Since Hulu carries advertising, Disney has access to an additional revenue stream. Advertisers are attracted to streamed entertainment since it allows audience targeting, real-time performance evaluation, and user-advertiser interaction.

Table 10 shows the growth in Disney's subscriber base since the launch of ESPN Plus.

## The Outlook for 2021 and Beyond

In the early months of 2021, hopes of life returning to normality had been dashed by the slow roll out of COVID-19 vaccines and the persistent high rates of infection in much of the world. As a result, streamed video entertainment continued to be a growth industry. Despite new entrants into the market during 2020, all the major players were enjoying growth in subscribers and revenue.

According to Dritan Nesho, chief executive of market research company, HarrisX: "Instead of a streaming war, there's been streaming coexistence and parallel growth."<sup>13</sup> Rather than take subscribers from established market leaders Netflix and Amazon Prime Video, the newcomers—Disney Plus, HBO Max, and Peacock—have expanded the overall streaming market. The primary losers were the TV broadcasters and cable TV channels. Between mid-2018 and the end of 2020, US satellite and cable companies had shed pay-TV customers at the rate of more than 1 million each quarter.<sup>14</sup>

Continued revenue growth would come, not only from new subscribers, but also from price rises and from an increased willingness of viewers to pay for multiple streaming services.

Looking at the global market for streamed video entertainment, considerable scope remained for increased household penetration. At the end of 2020, only in the United States, Singapore, and a few northern European countries was household penetration of paid video streaming services in excess of 80%. In most of the advanced industrialized world, household penetration was between 45% and 75%, while in major emerging markets such as India, Indonesia, and Brazil, household penetration was below 20%.

With regard to multiple subscriptions: among US households subscribing to at least one video streaming service, the average number of subscriptions grew from 2.2 in 2018 to 3.1 in 2020. Moreover, market research found that, on average, households would be willing to subscribe to 3.6 services.<sup>15</sup>

Expectations that subscription rates would rise were supported by the decision of both Netflix and Disney increase prices during the latter part of 2020.

## Notes

1. YouTube is often recognized as the true pioneer of video streaming. Its video sharing service was launched in 2005.
2. The Chinese video streaming market is dominated by iQiyi (owned by Baidu), Tencent Video, and Youku. Netflix withdrew from China in 2018 when it ended its alliance with Baidu.
3. Data from finder.com.
4. <https://research.netflix.com/research-area/experimentation-and-causal-inference>, accessed May 4, 2021.
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